

# Contextual Compliance

*Indians and the Civic Sense*

A Behavioural Economics Lens on Governance in India

## Source

Economic Survey 2025–26, Government of India

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## 01

## What Is Contextual Compliance?

The Economic Survey 2025–26, presented by the Ministry of Finance, introduced the idea of **"Contextual Compliance"**, a concept borrowed from behavioural economics. At its core, it challenges something we hear all the time in India: that people lack civic sense, that citizens are inherently undisciplined, or that rule-breaking is a cultural problem.

The Survey says something very different. It argues that behaviour is not fixed, it shifts based on the environment people are placed in. The same citizen who stands quietly in a Delhi Metro queue will rush aggressively at an overcrowded bus stop. The Survey says this is not a contradiction in their character but it is a predictable response to two very different systems.

*"Public behaviour is shaped more by system design, institutional trust, and incentives — than by culture or civic sense alone." — Economic Survey 2025–26*

### The Central Idea

People are not permanently disciplined or undisciplined. What changes is the context around them. When systems are well-designed, predictable, fair, and trustworthy; people tend to follow the rules. When systems are broken, unpredictable, or arbitrary, people adapt by bypassing those rules. This is what the Survey calls Contextual Compliance.

| Clear Design | Predictability | Institutional Trust | Low Friction |
|--------------|----------------|---------------------|--------------|
|--------------|----------------|---------------------|--------------|

These four conditions — listed above — are what the Economic Survey identifies as the main drivers of contextual compliance. When all four are in place, rule-following becomes the natural, easy, rational choice for most people.

## 02

## The Metro Example: Systems Over Morality

The Survey uses the Delhi Metro as its central example. Ask yourself: why do people behave so differently inside a metro station versus at a regular bus stop?

Inside the metro, you will find people standing in marked queues, waiting their turn, not pushing, and following announcements patiently. Step outside to a chaotic bus stand and the same people may jostle and push just to get a seat. What changed? Not their morality. The system changed.

*"The Metro works not because metro users are morally better — it works because the system makes orderly behaviour the easiest and most rational choice."*

### What Makes the Metro Work?

**Physical Design**

Turnstiles, barriers, queue markings, and platform lines all guide behaviour automatically without needing rules or policing.

**Predictability**

Trains arrive on schedule. People know the wait time. Uncertainty - the main trigger for panic and aggression - is removed.

**Visible Enforcement**

Security cameras, guards, and fine notices make enforcement real and credible - not threatening, just clear.

**Reliable Service**

A clean, working metro earns trust. People feel the system respects them, so they respect the system back.

### Why Bus Stops Fail

Now compare this with an ordinary bus stop in most Indian cities. No marked queues. No fixed timetable. No predictable arrival time. Passengers don't know if the bus will come in 5 minutes or 40. In that uncertainty, every passenger acts individually in self-interest - rushing, pushing, grabbing a seat as soon as the bus arrives. The Survey says: this is not rudeness. This is a rational response to an unreliable system.

The lesson is powerful: design the system well, and behaviour improves. Leave the system chaotic, and don't blame the people for the chaos that follows.

## 03 High vs Low Compliance: A Real-World Comparison

The Economic Survey draws a clear picture of what high-compliance and low-compliance environments look like in India today. Here is a side-by-side view:

| Factor           | High Compliance             | Low Compliance                       |
|------------------|-----------------------------|--------------------------------------|
| Examples         | Delhi Metro, Airports, UPI  | Traffic, Informal Parking, Bus Stops |
| System Design    | Clear, structured, guided   | Ambiguous, unorganised               |
| Predictability   | Trains on time, known waits | Irregular, uncertain service         |
| Enforcement      | Visible and consistent      | Arbitrary or absent                  |
| Citizen Response | Calm, cooperative, patient  | Chaotic, aggressive, bypassing rules |

### The Bigger Governance Argument

The Economic Survey goes beyond just talking about metros and bus stops. It uses contextual compliance to make a larger point about how India should think about governance and development.

For too long, the approach has been: make more rules, increase penalties, run moral campaigns, and blame citizens when things go wrong. The Survey argues this misses the real problem. If you want people to comply, improve the system they are operating in. Reduce friction. Build trust. Make the right behaviour the easy behaviour.

*"The shift must be from moralising citizens to improving institutions. People mirror their systems — fix the system, and the behaviour follows."*

### Why This Matters for India's Development

The Economic Survey ties this concept to India's broader development challenge. It points out that India's biggest governance problem is not a lack of ambition or even a lack of rules. The problem is weak implementation, fragmented systems, and bureaucratic friction that makes compliance difficult and distrust easy.

When citizens cannot trust that a system is fair or reliable, they stop participating in it correctly. Tax evasion rises when filing taxes is complicated and arbitrary. Traffic rules are ignored when enforcement

is inconsistent. Public spaces degrade when people feel no one cares or no one is watching. All of this costs the state money - in enforcement, in lost revenue, and in slower development.

### Global Examples

Japan, South Korea, Singapore, and Nordic countries are often cited for public discipline. The Survey argues this is not cultural - it is the outcome of decades of building reliable, high-trust institutions.

## 04

### UPI and Digital Governance Links

One of the best real-world examples of contextual compliance in action - outside of metros - is India's UPI payment system. When digital payments were hard, slow, and required multiple steps, most Indians stuck to cash. When UPI made payments instant, simple, and reliable — adoption exploded.

People didn't suddenly become financially disciplined. The system became easy enough that compliance became the obvious choice. The Survey connects this directly to nudge theory - an idea from behavioural economics that says the best way to change behaviour is to make the desired behaviour easier, not to punish the undesired one.

|                             |                        |                                   |                              |
|-----------------------------|------------------------|-----------------------------------|------------------------------|
| <b>Simplify the Process</b> | <b>Reduce Friction</b> | <b>Make the Right Choice Easy</b> | <b>Build Trust Over Time</b> |
|-----------------------------|------------------------|-----------------------------------|------------------------------|

## 05

### What Should India Do?

The Economic Survey does not just describe the problem - it implicitly points toward solutions. Here is what I think are the most important takeaways, connecting the Survey's argument to what India should actually do:

|                            |                                                                                                                                                                                       |
|----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Urban Design</b>        | Invest in physical infrastructure that guides behaviour - queue markings, pedestrian crossings, organised parking, and clearly signed public spaces.                                  |
| <b>Predictable Systems</b> | Make public transport reliable with real-time tracking and fixed schedules. Uncertainty drives panic - predictability drives patience.                                                |
| <b>Simpler Compliance</b>  | Tax filing, permit applications, and public service access should be digital, transparent, and quick. Every extra step is a reason to give up or cut corners.                         |
| <b>Trust-Building</b>      | Institutions must be seen as fair. If people believe enforcement is arbitrary or corrupt, they will stop following rules voluntarily - and voluntary compliance is the cheapest kind. |

## Final Thought

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The Economic Survey 2025–26 makes a quiet but radical argument: India's civic problems are not primarily cultural. They are institutional. Citizens do not need lectures on civic sense - they need better-designed systems that make good behaviour natural.

*"Nations do not become disciplined and then build good institutions. They build good institutions — and discipline follows." — The core insight of Contextual Compliance, Economic Survey 2025–26*

This is a message that matters not just for economists or policymakers, it matters for everyone who has ever wondered why India works brilliantly in some places and falls apart in others. The answer, more often than not, is the system.